

CONCEPT OF ETHICS

The word 'ethics' is derived from the Greek word 'ethos' (character) and Latin word 'moras' (customs). It is a well-documented guide on how to make the right choice and produce good behavior in daily activities.

Ethics is arrived at after considering factors such as human behaviors, environment and best global practices. Afterwards, these factors are further broken down into several available choices out of which right decisions otherwise known as ethics are agreed. Subsequently, the characters needed to act in accordance with that decisions are formulated and enforced. Therefore, ethics is all embracing having considered the necessary factors of human life and best global practices.

Definition of Ethics

Ethics are things deemed acceptable or unacceptable, good or bad fair or unfair, just or unjust, right or wrong, within a society or a field of human endeavour. A group of people with identical mission aimed at achieving acceptable goals through their acceptable method at all acceptable times under their acceptable conditions may develop certain ethics acceptable to all of them. Ethics is often imbibed from homes, customs, associations and religion. This is the reason why there may be differences in ethical behaviours among individuals as a result of parental background, cultural background, association and faith in God.

Therefore, ethical standards in the field of accountancy or anything relate to those norms and practices acceptable in the practice of the profession.

Ethical Behaviour/Ethical Conduct

This is referred to as good and positive actions in the context of morality and good conscience.

On the contrary unethical behavior/ethical misconduct is described as bad and negative actions in the context of morality and good conscience.

Division of ethics

Ethics is divided into three primary areas;

- a. Meta-Ethics – It is the study of the concept of ethics.
- b. Normative Ethics – This is the study of how to determine ethical values or behaviours. That is, making the right choice of behavior from available choices.
- c. Applied Ethics – This involves the study of application of ethical values to determine the right character to be applied for each of the issues at any given period of time.

Philosophical theories of ethics

Philosophical theories of ethics also known as normative theories of ethics relate to the study of how to determine ethical values. These theories include the following

(a) Theory of utilitarianism

Utilitarian ethics is defined as the greatest happiness principle which measures good and bad consequences in terms of happiness and pains. This theory takes a pragmatic and common sense approach to ethics. Actions are right to the extent that they benefit people. For instance, actions which produce more benefits than harm are right and those that do not are wrong.

(b) Theory of rights

The theory of rights stems from the belief that people have an inherent worth as human beings that should be respected. Therefore, according to this theory, a good decision is one that respects the rights of others. Conversely, a decision is wrong to the extent that it violates another person's rights.

(c) Theory of justice

This theory focuses on how fairly a decision distributes benefits and burdens among members of the group. Unjust distribution of benefits and burdens is an unjust act and an unjust act is a morally wrong act.

Types of ethics

There are three types of ethics but prominently two, these are professional ethics, business/organizational ethics and personal ethics

i. Professional ethics

These are formal and well documented standard behaviors introduced by professional associations for their members in the discharge of responsibility. These approved standards give direction to members on how to behave across a wide range of situations.

ii. Business/organizational ethics

These are set of rules and behaviors adopted by business/organization for the use of their employees. These approved rules are documented in form of handbook to be handed over to new employees from time to time.

iii. Personal ethics:

Personal ethics describes the intrinsic moral principles and values that govern an individual's interactions with others. Personal ethics is neither enforced nor required by a prescriptive code—it reflects one's inner views on morality and right and wrong.

Personal ethics are typically influenced by people's family, friends, experiences, culture and religion.

Specific professional ethics for accountants

The following specific professional ethics are prevalent for accountants.

They are bound to observe them in addition to the duties owed to the public and their employers even if it is contrary to personal interest.

i. Gifts or Gratifications

Accountants should refrain from accepting favor or hospitality which may be intended to influence or which could be interpreted by a reasonable person as inducement to perform responsibilities.

However, favors and hospitality of modest value may be accepted to the extent that they may be permitted by their employers.

ii. Smart appearance

Accountants should dress smartly and corporately in a dignifying manner. This will give dignity and honour to individual members of the profession. Casual wears are not allowed particularly to clients' offices.

iii. Conflict of interest

It is part of ethical standards for accountants to avoid conflict of interest by not taking up jobs which can affect them to freely express objective opinion. For instance, accountants in audit practice are precluded from taking up jobs where they have interest or relationship of any kind which can hamper objectivity.

iv. Accepting professional work

Accountants should properly document all appointments and seek for professional clearance from previous auditors where necessary before embarking on the job. The retiring or disengaged auditors should respond to such request within reasonable period of time.

v. Joint practice or partnership with non qualified accounting professionals

They are not expected to go into private practice as partners with unqualified professionals

vi. Other ethics include;

a. Professional charges/fees - Accountants should use scale of professional fees approved as guides in charging fees for services rendered. They should not under quote professional fees to sideline competitors.

b. Name of firm - Those in private practice as auditors should use clear names that are not ambiguous.

c. Signposts - The signboards should fall within specific measurements. It should not be over bloated to portray it as advertisement.

d. Advertisement - Accountants in practice should not advertise their services. They should guide against activities which can result into undue publicity for their firms.

c. Resignation of appointment - Accountants in employment should ensure that they resign their appointments in accordance with terms of engagement. They should hand over formally and satisfactorily.

Attributes required to adhere to in practicing professional ethics

Accountants should exhibit the following attributes in the discharge of responsibility;

(i) **Objectivity**: Objectivity connotes fairness in all ramifications particularly in the discharge of professional responsibilities. Accountants are expected to be fair in their professional and business judgments. To be able to be objective, an auditor should also avoid receiving gratification and undue hospitality particularly where there is a disagreement among interest groups in an organization.

(b) Integrity

Integrity implies honesty and truthfulness. It is compulsory for accountants to imbibe and display honesty in all professional and business relationships.

(c) Professional competence

They should develop themselves professionally and sufficiently enough to discharge any assignment given to them. It is not expected of them to accept or perform the functions which they have no capacity to undertake/execute.

(d) Due care

It means to be meticulous. This attribute of being meticulous is expected in the discharge of professional responsibility such that the output will be devoid of errors.

(e) Confidentiality: This connotes secrecy. It is expected that information of client or the company being worked for should not be disclose to a third party no matter the closeness. Even though there are circumstances that may warrant the disclosure of client's information

Circumstances where an auditor can disclose client information:

- i. Where the client authorizes him e.g a client may instruct its auditors to make certain information available to its bankers.
- ii. Where the law refers him to disclose information for adjudication purpose in a law court, for police investigation etc.
- iii. If it is in the interest of the general public to do so e.g. where an auditor discovers some illegal activities engaged upon by the client or where there is a public misunderstanding of his clients and he wishes to correct such an impression.
- iv. If the auditor needs the information to defend himself in a charge brought against him.

(f) Professional behaviour

The conduct of an accountant in speech and character should be exemplary and above board. The conduct should not only be professed but should also be displayed.

(g) Discipline

It connotes obedience to rules and regulations. Accountants should be obedient to constituted authority without necessarily compromising standards.

(h) Rational

It means proper reasoning. This attribute will enable accountants to take good and quality decisions.

(i) Analytical: This connotes ability to break down information and figures into its constituent elements. Accountants should learn and deploy modern technology to assist him to carry out this task effectively.

(j) Courtesy

Accountants are expected to conduct themselves in good manner towards people especially in performing official duty and responsibility.

Competing demands and what to do as professional accountants

Accountants often times are faced with conflicts between upholding values central to their profession and the demands of the real world. Balancing these competing demands is an arduous task but it behooves on them to act professionally in the discharge of duties/responsibilities.

Professional accountants should expect to face challenges in the cause of performing their duties.

Despite this, they should undertake their job with all sense of responsibility in order not to lose the public trust entrusted upon the profession.

Ethical codes for professional accountants should be upheld even in difficult times and circumstances. A professional advice should be sought from senior colleagues in challenging situations.

6. Enforcement of ethical standards

The various accounting bodies have the powers to enforce ethical standards and to sanction any erring member or student member for misconduct. The penalty for misconduct is grievous. This can be either withdrawal of membership or suspension of membership.

However, the sanctions are avoidable by shunning all acts of indiscipline and indecent behaviors.

7. Rights of employers on enforcement of ethical standards

Any employer has the right to lodge a formal complaint against any accountant for unethical behavior. There can also be a complaint by a member against another member for wrongful acts.

Therefore, members should be extremely cautious not to run foul of ethical standards either as employees or as practitioners.

BENEFITS OF CODE OF ETHICS IN ACCOUNTING AND BUSINESS

The study of ethics is important to today's accountants due to the following:

- Accountants must abide by professional codes of ethics due to membership of a professional accountancy body.
- It is in the public interest that members of the public have confidence in the accountancy profession. This is necessary to help facilitate commerce and industry, promote growth and prosperity and to help sustain a reliable and trustworthy economic mechanism.
- Accountants must continue to be seen as ethical and independent for their opinion to be valued both within audit and advisory roles.
- The study of ethics will help promote consistency in the ethical values and principles that can be expected of accountants.
- Adherence to professional codes of ethics remains ever critical in protecting the reputation of the accountancy profession in light of recent corporate scandals.

ETHICAL DILEMMA:

An ethical (moral) dilemma involves a conflict between two moral principles whereby it can be argued that both perspectives are fair and reasonable. Ethical dilemmas typically arise in situations whereby a particular action is likely to benefit one stakeholder whilst harming another.

Therefore an ethical dilemma is a situation where guiding moral principles cannot unequivocally resolve the conflict and determine which course of action is right or wrong.

ETHICAL THREATS AND SAFEGUARDS

Ethical conflict: An ethical conflict (also known as an ethical dilemma) is when two ethical principles demand opposite results in the same situation. In order to resolve the conflict, a choice must be made that by definition will leave at least one of the ethical principles compromised.

A key reason behind many ethical conflicts is a conflict of interest between taking decisions in one's own self-interest versus making decisions in the best interest of a client.

For example an auditor has a moral obligation to earn money to feed, clothe and house his family. To purely satisfy this obligation they may take decisions that are not in the best interest of a client – for example reducing the extent of audit work and using more junior staff to save money on costs and generate bigger profits for the audit firm. However, the reduction in audit work and use of more junior staff would mean that the auditor has not complied with audit standards nor delivered the statutory audit that the client has paid for.

Rules-based and principles-based approaches to ethical conflicts

When accountants are faced with an ethical conflict they need to know what to do. If there is a threat to their compliance with the fundamental principles of the ethical code, how should they ensure their compliance and deal with the threat?

There are two possible approaches that the professional accountancy bodies could take, a rules-based approach and a principles-based approach.

□ A rules-based approach is to identify each possible ethical problem or ethical dilemma that could arise in the work of an accountant, and specify what the accountant must do in each situation.

- A principles-based approach is to specify the principles that should be applied when trying to resolve an ethical problem, offer some general guidelines, but leave it to the judgement of the accountant to apply the principles sensibly in each particular situation.

The main reason for taking a principles-based approach is that it is impossible to identify every ethical dilemma that accountants might face, with differing circumstances in each case. Since it is impossible to identify every problem that might arise, rules could only be provided for some problems but not others.

The nature of a principles-based approach

The recommended approach to resolving ethical problems is based on the following steps:

- Identify threats to compliance with the fundamental principles. Accountants have an obligation to identify any threat to their compliance with the fundamental principles, when it could reasonably be expected that they should be able to identify it.
- Evaluate the threat. Qualitative factors as well as quantitative factors should be considered in the assessment of a threat to compliance. Insignificant threats may be ignored but others should be dealt with.
- Respond to the threat. If it is 'not insignificant', the accountant should apply appropriate safeguards, if he can, to eliminate the threat or reduce the threat to an insignificant level.
- If suitable safeguards cannot be applied, more drastic action will be needed, such as refusing to carry out a professional service, ending the relationship with a client or resigning from the job.

Nature of ethical threats

Threats to compliance with the fundamental ethical principles are grouped into five broad categories:

1. Self-interest threats or conflicts of interest. These occur when the personal interests of the professional accountant, or a close family member, are (or could be) affected by the accountant's decisions or actions.

2. Self-review threats. This type of threat occurs when a professional accountant is responsible for reviewing some work or a judgment that he was responsible for originally. An extreme example would be a situation where a professional accountant prepares the annual financial statements for a corporate client and then is appointed to do the audit.
3. Advocacy threats. This type of threat can occur when an accountant promotes the point of view of a client, for example by acting as a professional witness in a legal dispute. Acting as an advocate for the client can reach the point where the objectivity of the accountant is compromised.
4. Familiarity threats. A familiarity threat arises from knowing someone very well, possibly through a long association in business. The risk is that an accountant might become too familiar with a client and therefore becomes more sympathetic to the client and more willing to accept the client's point of view.
5. Intimidation threats. A professional accountant might find that his objectivity and independence is threatened by intimidation, either real or imagined.

These threats to compliance with the fundamental ethical principles apply to firms of accountants in their dealings with clients as well as to individual accountants.